



THE EAST AFRICAN PORTLAND CEMENT COMPANY

Holding Life Together

27 February, 2018

The Director,
Marketing Operations
Capital Markets Authority
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Dear Sir,

RE: EAPCC UNAUDITED RESULT FOR THE SIX MONTHS ENDED 31 DECEMBER 2017

Enclosed herewith please find the announcement of the unaudited results for the six months ended 31 December, 2017 together with the statements of consolidated financial position, consolidated comprehensive income and consolidated cashflow.

The press release will be published in the press on Wednesday, 28 February 2018.

We appreciate your continued support.

Yours faithfully,

For: East African Portland Cement Co. Ltd.

Sheila Kahuki
COMPANY SECRETARY

CC. The Chief Executive ✓
Nairobi Securities Exchange
Exchange House
Westlands, Nairobi

ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2017

The directors of the East African Portland Cement Company Limited are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2017

Consolidated Statement of Comprehensive Income for six months period ended:

	31 Dec 2017 Sh' 000	31 Dec 2016 Sh' 000
Revenue	3,062,119	3,722,059
Cost of Sales	(2,916,684)	(3,074,533)
Gross Profit	145,435	647,527
Other Operating Income	1,202	340
Administration and Selling Expenses	(1,001,027)	(1,062,116)
(Loss)/Profit from Operating Activities	(854,390)	(414,250)
Interest Income	1,403	1,619
Foreign Exchange (losses)/gains	21,046	186,241
Gain on disposal of leasehold land	-	-
Finance Costs	(313,492)	(307,308)
(Loss)/Profit Before Tax	(1,145,433)	(533,698)
Tax (Charge)/Credit	175,860	285,577
(Loss)/Profit After Tax	(969,573)	(248,121)
Other Comprehensive Income	20,346	29,539
Total Comprehensive Income	(949,227)	(218,582)
Earnings Per Share	(10.55)	(2.43)

Consolidated Statement of Cash Flows for the six months ended:

	31 Dec 2017 Sh' 000	31 Dec 2016 Sh' 000
Cash flow Generated from Operations	173,824	184,619
Interest Paid	(309,072)	(290,786)
Interest Received	205	267
Taxation Paid	(1,366)	(2,444)
Cash Generated From Operating Activities	(136,408)	(108,344)
Net Cash Used in Investing Activities	(41,362)	(118,953)
Repayment of Lease obligation	-	-
Receipt of Asset finance loan	1,643,294	322,908
Repayment of asset finance loans	-	(246,844)
Receipt of post import finance	-	254,614
Repayment of post import finance	(308,879)	-
Loan Repayment	(197,134)	(194,894)
Net Cash Used in Financing Activities	1,137,281	135,784
Net Decrease in Cash and Cash Equivalents	979,857	(61,974)
Cash and Cash Equivalents as at 1st July	(1,879,276)	(1,440,899)
Cash and Cash Equivalents as at 31 December	(899,419)	(1,502,873)

Consolidated Statement of Financial Position as at:

	31 Dec 2017 Sh' 000	30 June 2017 Sh' 000
Assets		
<i>Non-current assets</i>		
Property, plant & equipment	8,133,405	8,352,683
Intangible and other non-current assets	193,274	193,348
Investment property	15,867,999	15,867,999
Loan swap asset	836,920	994,263
Restricted deposits	-	-
Total non-current assets	25,031,598	25,408,293
<i>Current assets</i>		
Inventories	1,218,922	1,290,102
Trade and other receivables	489,315	468,635
Cash and cash equivalents	201,260	190,358
Total current assets	1,909,497	1,949,095
Total assets	26,941,095	27,357,388
Equity and Liabilities		
<i>Capital and reserves</i>		
Share capital	450,000	450,000
Share premium	648,000	648,000
Asset revaluation reserve	1,593,184	1,650,387
Retained earnings	13,203,322	14,115,692
Foreign Currency Translation Reserve	47,250	26,904
Total equity	15,941,756	16,890,983
<i>Non current liabilities</i>		
Staff gratuity	1,173,311	1,205,875
Deferred tax liability	225,642	404,930
Loan swap liability	733,803	882,792
Long-term Loan	3,574,638	1,776,595
Total non-current liabilities	5,707,394	4,270,192
<i>Current liabilities</i>		
Current of Long-term Loan	492,026	862,029
Bank overdraft	1,100,679	2,069,634
Trade and other payables	3,699,240	3,264,550
Total current liabilities	5,291,945	6,196,213
Total equity and liabilities	26,941,095	27,357,388

PERFORMANCE

Revenue declined by 18% over the same period last year due to slow market uptake on account of prolonged political activity which dampened investment decisions and thus slowed down economic activities. This was further impacted by knock on effects of interest rates capping and prolonged drought on the general macroeconomic environment. Increases in the cost of coal and unit cost of electricity adversely affected cost of sales, which reduced by 5% over the same period last year. Consequently, the gross profit margin declined from 18% in the prior period to 5%. Administrative expenses reduced by 6% compared to the same period last year as a result of the ongoing cost management initiatives.

The foreign exchange gain in the period declined by 89% over the same period last year from Kshs 186 million to Kshs 21 million owing to the depreciation of the Kenya shilling against the US dollar and the Japanese yen.

FUTURE OUTLOOK

Future market outlook remains positive with the unveiling of the Agenda Four initiatives by the National Government where affordable housing and manufacturing were among the top priorities. The Company will continue with the ongoing restructuring programs covering both operations and financial aspects of the business. This is geared towards reduction of the high Finance and Administrative costs and stabilisation of the value chain processes in order to enhance efficiency and ultimately the Company's competitive position.

Given that the company has enormous resources in the form of idle and fully mined prime parcels of land, the Board expects to be granted the necessary approvals to generate value from these idle parcels of land.

The Board is optimistic that with the implementation of the company's medium term plans the company will soon return back to profitability.

DIVIDEND

The directors do not recommend payment of an interim dividend.

BY ORDER OF THE BOARD

SHEILA KAHUKI
COMPANY SECRETARY
27 February 2018